THE PRACTICAL MONEY SYSTEM

A Beginner's Guide to Budgeting, Saving, Debt Payoff & Building Wealth



About this free sample

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This sample shows the cover, the full contents, a worked budget for a middle income, the monthly budget worksheet, the debt repayment comparison (avalanche, snowball and hybrid on the same debts), compound interest worked examples and the scam-check checklist, exactly as they appear in the book. All rates are assumptions used for illustration.

The full book has 72 pages. Page numbers in the contents refer to the full book; sample pages keep their original page numbers.

This book is general financial education. It is not personalised financial, tax, legal or investment advice, and it does not recommend any product. Investing involves risk, including loss. Rules and taxes differ by country. Examples use assumed figures.

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Worked example A: low income

Assumptions (fictional): net income 1,800 CU per month, single person, shared housing.

Line	CU per month
Housing	620
Utilities and phone	140
Food (groceries)	330
Transport	130
Insurance and health	60
Minimum debt payments	90
Personal and fun	100
Emergency fund	80
Other goals	50
Buffer	200
Total	**1,800**

Check: 620 + 140 + 330 + 130 + 60 + 90 + 100 + 80 + 50 + 200 = 1,800, so income minus total = 0. Fixed costs (housing, utilities, insurance, minimums) are 620 + 140 + 60 + 90 = 910 CU, which is 50.56% of income. That is high, which is why the buffer is large: there is little room to absorb a surprise. Whatever is left in the buffer at month end moves to the emergency fund.

Worked example B: middle income

Assumptions (fictional): net income 3,600 CU per month, one adult.

Line	CU per month
Housing	1,100
Utilities and phone	220

Monthly budget worksheet

```
MONTHLY BUDGET WORKSHEET        Month: _________
NET INCOME (baseline)                          _______
FIXED
  Housing                                      _______
  Utilities and phone                          _______
  Insurance                                    _______
  Debt minimums                                _______
VARIABLE ESSENTIALS
  Groceries                                    _______
  Transport                                    _______
  Health and personal care                     _______
IRREGULAR (annual total / 12)
  Sinking funds (Chapter 7)                    _______
SAVING
  Emergency fund                               _______
  Goals                                        _______
  Extra debt payment                           _______
PERSONAL
  Fun and eating out                           _______
  Subscriptions                                _______
BUFFER                                         _______
TOTAL ASSIGNED                                 _______
INCOME - TOTAL ASSIGNED (target 0)             _______
```

When the budget does not balance

If expenses exceed income, there are only three levers: raise income, cut costs, or change a big fixed cost (housing, transport, a loan). Cutting small things while ignoring housing or a car loan rarely closes a large gap. Work through your largest three categories first.

Common mistakes and fixes

- **No buffer line:** add one; unused buffer rolls to the emergency fund.
- **Budget written once and never reviewed:** hold a 15-minute review at month end (checklist in Appendix A).

CHAPTER 6

Debt repayment strategies

Three strategies

All three pay the **minimum on every debt** and send every extra unit to one target debt. They differ only in the target.

- **Avalanche:** target the debt with the highest APR first. This minimises total interest.
- **Snowball:** target the smallest balance first. It clears accounts sooner, which some people find easier to stick to.
- **Hybrid:** clear the smallest debt first for an early win, then switch to avalanche order for the rest.

When a debt is cleared, its minimum payment is added to the extra amount (the "rollover"), so total monthly payment stays constant.

The comparison: same debts, same budget

The numbers below were produced by `verify_math.py`, which simulates each month: interest is added (balance x APR / 12, rounded to the cent), minimums are paid, then the extra goes to the target debt. All rates are **assumptions**.

Debt	Balance (CU)	APR	Minimum (CU)
Card A	3,200	24%	80
Card B	1,100	19%	35

Debt	Balance (CU)	APR	Minimum (CU)
Loan C	5,500	9%	130
Bill D	600	6%	25
Total	**10,400**		**270**

Extra payment: 250 CU a month, so the total monthly debt budget is 520 CU. New borrowing: none. Loan C's minimum is treated as a normal minimum that can be prepaid without penalty (check your own loan's terms).

Orders:

- Avalanche: Card A, Card B, Loan C, Bill D.
- Snowball: Bill D, Card B, Card A, Loan C.
- Hybrid: Bill D, then Card A, Card B, Loan C.

Month 1 working (all strategies share the interest step)

```
Interest: A 3,200 x 0.24 / 12 = 64.00
          B 1,100 x 0.19 / 12 = 17.42 (17.4167 rounded)
          C 5,500 x 0.09 / 12 = 41.25
          D   600 x 0.06 / 12 =  3.00
Total interest month 1 = 125.67
Minimums paid = 270; extra = 250 to the target debt.
Avalanche, end of month 1: A = 3,200 + 64.00 - 80 - 250 =
2,934.00
                           B = 1,100 + 17.42 - 35 = 1,082.42
                           C = 5,500 + 41.25 - 130 = 5,411.25
                           D = 600 + 3.00 - 25 = 578.00
Total owed = 10,005.67
```

Results

Measure	Avalanche	Snowball	Hybrid	Minimums only
Months to debt-free	23	23	23	82
Total interest (CU)	1,288.30	1,431.44	1,388.48	4,917.69

Measure	Avalanche	Snowball	Hybrid	Minimums only
Total paid (CU)	11,688.30	11,831.44	11,788.48	15,317.69
Final-month payment (CU)	248.30	391.44	348.48	22.04

"Minimums only" does not roll over freed-up payments, so it shows the cost of never raising the payment.

Payoff month of each debt:

Debt	Avalanche	Snowball	Hybrid	Minimums only
Bill D	23	3	3	26
Card B	14	6	15	44
Card A	11	15	13	82
Loan C	23	23	23	52

(In the avalanche column Bill D and Loan C both finish in month 23; the last payment clears both.)

Total owed at the end of each month

Month	Avalanche	Snowball	Hybrid
1	10,005.67	10,005.67	10,005.67
2	9,604.96	9,608.71	9,608.71
3	9,197.76	9,209.10	9,209.10
4	8,783.96	8,804.44	8,803.53
5	8,363.43	8,394.06	8,391.06
6	7,936.03	7,977.87	7,971.56
7	7,501.66	7,555.46	7,544.90
8	7,060.18	7,125.76	7,110.94
9	6,611.46	6,688.63	6,669.55

Month	Avalanche	Snowball	Hybrid
10	6,155.39	6,243.95	6,220.61
11	5,691.80	5,791.55	5,763.95
12	5,220.73	5,331.31	5,299.44
13	4,743.24	4,863.06	4,826.93
14	4,259.27	4,386.66	4,347.59
15	3,770.51	3,901.95	3,861.47
16	3,278.14	3,411.21	3,370.43
17	2,782.14	2,916.79	2,875.71
18	2,282.48	2,418.67	2,377.28
19	1,779.13	1,916.81	1,875.11
20	1,272.06	1,411.19	1,369.17
21	761.25	901.77	859.44
22	246.67	388.53	345.89
23	0.00	0.00	0.00

What the comparison shows

- All three finish in the same month here because the total budget is the same and the longest, cheapest debt (Loan C) sets the finish line. That will not always be true.
- Avalanche costs the least interest: 143.14 CU less than snowball (1,431.44 - 1,288.30) and 100.18 CU less than hybrid (1,388.48 - 1,288.30) in this example.
- Snowball removes two accounts by month 6 (Bill D in month 3, Card B in month 6); avalanche removes none until month 11. That is the trade: a lower cost for avalanche, earlier visible progress for snowball.
- The much larger effect than the choice of strategy is **paying more than the minimums**: 3,629.39 CU less interest (4,917.69 - 1,288.30) and 59 fewer months than minimums only.

Worked examples (rates are assumptions, not forecasts)

1. **Lump sum, annual compounding.** P = 1,000, r = 5%, m = 1, t = 10. FV = 1,000 x 1.05^10 = **1,628.89 CU**. Compound interest earned is 628.89 versus 500 for simple interest.
2. **Same, compounded monthly.** FV = 1,000 x (1 + 0.05/12)^120 = **1,647.01 CU**. More frequent compounding adds 18.12 CU over ten years.
3. **Longer time.** 1,000 CU at 5% for 30 years = **4,321.94 CU**. Tripling the time more than doubles the final amount, because growth builds on growth.
4. **Small savings goal.** 500 CU at 3% for 5 years, annual compounding = 500 x 1.03^5 = **579.64 CU**.
5. **Regular deposits.** Deposit 200 CU at the end of each month at an assumed 5% a year (i = 0.05/12):

Years	Total deposited (CU)	Future value (CU)
10	24,000	31,056.46
20	48,000	82,206.73
30	72,000	166,451.73

Growth is not a straight line: the 30-year result is far more than three times the 10-year result. This is an illustration at a constant assumed rate. Real investment returns vary year to year and can be negative, so no investment grows in a smooth line like this.

6. **Debt compounding.** A balance of 1,000 CU at an assumed 18% APR, compounded monthly with no payments, grows over 3 years to 1,000 x 1.015^36 = **1,709.14 CU**. Compounding works against borrowers just as it works for savers.

Phishing. Emails, texts or messages that mimic a real organisation and urge you to click a link or enter a password. Do not use the link; go to the organisation's own site, or call a number you looked up yourself.

Scam-check checklist

Before sending money or information, answer these:

- [ ] Did they contact me first (unsolicited)?
- [ ] Do they claim to be someone official, or someone I have only met online?
- [ ] Are they pressuring me to act now or keep it secret?
- [ ] Do they want gift cards, a transfer, a payment app or crypto?
- [ ] Is there a promise of guaranteed, large or "risk-free" returns?
- [ ] Is there an upfront fee to receive money or a prize?
- [ ] Does the seller appear on my regulator's official register of authorised firms?
- [ ] Have I searched the name plus "scam" or "complaint"?
- [ ] Have I told a trusted person and waited at least one day?
- [ ] Would a legitimate business give me time to decide? (It would.)

One "yes" to the first six is a reason to stop; several is almost certainly a scam.

Protect yourself in advance

- Use unique passwords and two-factor authentication on email and banking.
- Set low limits on payment apps and transfers where possible.
- Agree a family code word for emergency money requests.
- Never share one-time codes or remote-access to your device.
- Keep a list of official contact numbers for your bank, written from its card or site.